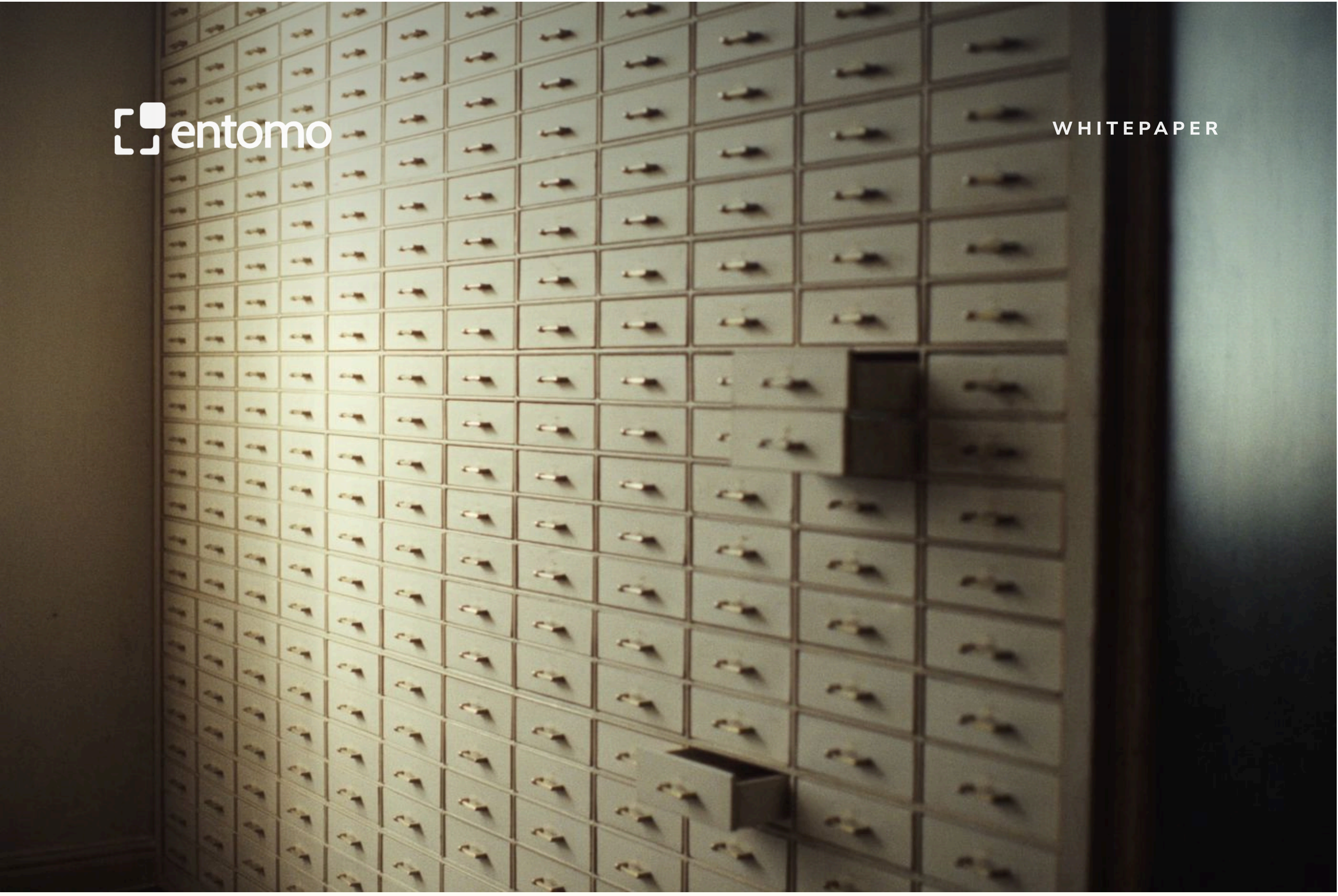

WHITEPAPER

human capital disclosure: ISO 30414 and CSRD

a metric-by-metric readiness guide to ISO 30414:2025 and the workforce disclosures inside the revised EU standards

INSIDE

- what changed in human capital reporting, and when
- ISO 30414:2025: eleven areas and the required metrics
- ESRS S1: the own workforce disclosures HR owns
- where ISO 30414 and ESRS S1 overlap, and where they diverge

8 CHAPTERS • 19 SOURCES • ENTOMO RESEARCH 2026

CONTENTS

what is in this whitepaper

EXECUTIVE SUMMARY

the argument in short

Two reforms landed inside thirteen months, and together they reset what a workforce number has to survive. On 24 August 2025 ISO published the second edition of ISO 30414, retitled as requirements and recommendations rather than guidance alone. On 3 July 2026 the European Commission adopted a delegated regulation replacing the European Sustainability Reporting Standards, cutting mandatory datapoints by more than 60 percent. In between, Directive (EU) 2026/470 narrowed the Corporate Sustainability Reporting Directive to undertakings above 1,000 employees and 450 million euro net turnover, and abolished the wave structure. The direction of travel is fewer numbers, held to a higher standard.

The scope cut is not a reprieve for HR. Read the revised ESRS S1 closely and the workforce numbers are among the few that survived intact. S1-5, characteristics of the undertaking's employees, is one of only two disclosure requirements in S1 that applies once own workforce is material, whether or not the specific sub-topic is. Headcount by gender, headcount by country, contract type, turnover rate, gender pay gap, training hours, accident rate and days lost all remain. Three of those figures are hard-coded as the denominator for other required percentages, which means an error in the headcount table propagates through the statement.

The harder problem is not definition. It is proof. Reasonable assurance was removed from the European framework by Directive (EU) 2026/470, and the Commission is now required to adopt harmonised limited assurance standards by 1 July 2027. That sounds like relief. In practice the bar on HR rises anyway, because workforce numbers now sit inside the management report, are covered by an assurance opinion, and must be restated when a prior period error is found. A number that no one can rebuild from source records is not a disclosure. It is an assertion waiting to be withdrawn.

This guide works through the change requirement by requirement. It sets out the eleven human capital areas in ISO 30414:2025, the sixteen disclosure requirements in the revised ESRS S1, the formulas the standard itself specifies, and the phase-in reliefs that expire. It gives three original tools you can put to work this quarter: the metric readiness ladder for scoring what you can defend, the workforce number passport for recording lineage, and the tiered workforce disclosure set with promotion rules for controlling what leaves the building. It closes with a two-year plan to the FY2027 reporting year, and with what all of this means for a group headquartered outside the EU that sells into it.

This document is written for CHROs, people analytics leads and reporting owners at enterprises above 1,000 employees. It is a research paper published by entomo, not accounting or legal advice, and it does not create a client relationship. Every requirement below is cited to a primary source with a date. European standard-setting is still moving, so where a position was unsettled as at 8 September 2026 the text says so.

this document is provided for general information. it is not legal, accounting or professional advice, and it does not create an advisory relationship.

01 CHAPTER

what changed in human capital reporting, and when

Three separate reforms landed between August 2025 and July 2026. Together they narrow who reports, and raise what a reported workforce number has to withstand.

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Human capital reporting spent most of the last decade as a voluntary discipline. Companies chose their metrics, chose their definitions, and chose the year they started. That era closed in stages, and the stages arrived close enough together that many reporting teams treated them as one event. They are not one event. They have different legal characters, different clocks, and different consequences for the person who owns the numbers.

the three changes

1. **ISO 30414:2025, published August 2025.** The second edition of the human capital reporting standard cancels and replaces ISO 30414:2018. Its title is now Requirements and recommendations for human capital reporting and disclosure. The Foreword lists as its first main change the reallocation of metrics into two categories, requirements and recommendations. It remains a voluntary standard.
2. **Directive (EU) 2026/470, adopted 24 February 2026.** Known as Omnibus I, it amends four directives and narrows the CSRD to undertakings exceeding 450 million euro net turnover and an average of 1,000 employees during the financial year. It was published in the Official Journal on 26 February 2026 and entered into force on the twentieth day after publication.
3. **The revised ESRS, adopted 3 July 2026.** A Commission delegated regulation replaces Annex I to Delegated Regulation (EU) 2023/2772, the standards themselves, and amends Annex II, the glossary. It applies to financial years beginning on or after 1 January 2027.

THE REFORM TIMELINE, WITH THE INSTRUMENT THAT CARRIES EACH CHANGE

date	instrument	what it does	primary source
24 August 2025	ISO 30414:2025, second edition	splits human capital metrics into requirements and recommendations, reorganises the eleven human capital areas, adds metrics on human rights, labour relations, productivity, ethics and well-being	ISO/TC 260
24 February 2026	Directive (EU) 2026/470	raises CSRD thresholds to 450 million euro net turnover and 1,000 employees, both cumulatively; removes the empowerment to adopt reasonable assurance standards; caps what may be asked of value chain undertakings	Official Journal, 26 February 2026
18 March 2026	entry into force of Directive (EU) 2026/470	the twentieth day following publication	Directive (EU) 2026/470, final article
3 July 2026	Commission delegated regulation C(2026) 5010	replaces the ESRS; cuts mandatory datapoints by more than 60 percent and total datapoints by more than 70 percent	European Commission
1 January 2027	first financial year under the revised ESRS	the revised standards apply to financial years beginning on or after this date	delegated regulation, Article 3
1 July 2027	deadline for limited assurance standards	the Commission must adopt delegated acts providing limited assurance standards by this date	Directive 2006/43/EC, Article 26a(3) as replaced
19 March 2027	transposition deadline	Member States must transpose Articles 1, 2 and 3 of Directive (EU) 2026/470 by this date	Directive (EU) 2026/470, transposition article

1,000

employees, average during the financial year, now required alongside 450 million euro net turnover before an EU undertaking falls into CSRD scope

Directive (EU) 2026/470, 2026

Read the threshold carefully, because the conjunction matters. Both tests must be met. An undertaking with 4,000 employees and 300 million euro of turnover is out. An undertaking with 900 employees and a billion euro of turnover is out. The old wave structure is gone: point (a) of Article 5(2) of the CSRD is now limited to financial years starting between 1 January 2024 and 31 December 2026, point (c) is deleted, and from FY2027 a single set of criteria applies to everyone.

The datapoint reduction is the change that reporting teams feel first. The Commission's own figure is a cut of over 60 percent in mandatory datapoints and more than 70 percent in total datapoints, with per-company reporting cost expected to fall by over 30 percent. Voluntary datapoints were removed rather than retained as an optional layer. This is a genuine simplification. It is also a concentration: what remains is what the Commission judged load-bearing, and workforce metrics are heavily represented in what remains.

STILL IN MOTION

As at 8 September 2026 the delegated regulation adopted on 3 July 2026 had been adopted but not yet published in the Official Journal. Its own Article 3 sets entry into force at the date of adoption plus four months and one week, subject to scrutiny by the European Parliament and the Council. The text as adopted still carries publication-office placeholders for its number and date. Confirm the final citation before quoting it in a filing.

Assurance moved in the opposite direction to expectation. Article 26a(3) of Directive 2006/43/EC previously empowered the Commission to adopt reasonable assurance standards by 1 October 2028. Directive (EU) 2026/470 removes that empowerment, and the recital gives the reason plainly: to avoid an increase in the cost of assurance for undertakings. The replaced Article 26a(3) now requires the Commission to adopt limited assurance standards no later than 1 July 2027, developed with due process, public oversight and transparency.

> **Removing reasonable assurance lowers the statutory bar. It does not lower the evidential bar, because a limited assurance provider still has to be able to follow your number back to its source.**

One further change reduces near-term work and should be planned for anyway. Article 29d of the Accounting Directive, on the single electronic reporting format, was replaced so that undertakings are not required to mark up their sustainability reporting until the marking-up rules are adopted under Delegated Regulation (EU) 2019/815. Tagging is deferred, not cancelled. A metric dictionary built now, with stable identifiers, is the artefact that makes tagging cheap later.

For a group headquartered in Southeast Asia, the Middle East or India, none of this is remote. Two mechanisms reach across the border: the reporting obligation on certain non-EU parent undertakings under Article 40a of the Accounting Directive, and the value chain information flow from EU customers. Both were reshaped by Omnibus I, and both are set out in the final chapter.

The practical reading of this chapter is short. Fewer companies report. Fewer datapoints are reported. The workforce datapoints largely survived. The statutory assurance level is limited, and the harmonised standards for it do not yet exist. The first financial year under the revised standards begins on 1 January 2027 for a calendar-year group.

02 CHAPTER

ISO 30414:2025: eleven areas and the required metrics

The second edition splits metrics into requirements and recommendations. That single change turns a reporting menu into a floor you either meet or explain.

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ISO 30414:2025 is the international standard for human capital reporting and disclosure, prepared by ISO technical committee TC 260, human resource management. It is a voluntary standard, so it binds no one by law. It matters for a different reason: it is the only widely available common vocabulary for workforce measurement, and it is the document an assurance provider or an investor will reach for when asking what a metric name is supposed to mean.

The scope clause states that the document provides requirements and recommendations for human capital reporting and disclosure, and that it outlines a baseline for global and comprehensive internal and external reporting, applicable across organizations of all sizes and sectors, focusing on measuring factors within an organization's control. Two phrases in that sentence do real work. Internal and external means the standard is not only a disclosure instrument. Within an organization's control sets a boundary that excludes labour market conditions you cannot influence.

the eleven human capital areas

The scope names eleven core human capital reporting areas. They are worth quoting in the standard's own order, because the order reflects a deliberate reorganisation from the 2018 edition and an area map built on the old structure will not carry over unchanged.

THE ELEVEN HUMAN CAPITAL AREAS IN ISO 30414:2025, WITH METRIC COUNTS REPORTED BY ISO/TC 260 AND SPECIALIST PUBLISHERS

#	human capital area	what it measures	metrics reported
1	workforce composition	the number and employment types of people contributing to organisational outcomes	7
2	diversity	demographics and other personal characteristics across the workforce	5
3	costs	efficiency of financial allocations to the workforce	7
4	productivity	effectiveness of financial allocations to the workforce	4
5	health, safety, and well-being	wellness and well-being associated with the workforce	5
6	leadership, culture and engagement	internal stakeholder synergies associated with outcomes	6
7	compliance, ethics, and workforce relations	governance and social commitments that sustain the organisation	11
8	recruitment	efficiency and effectiveness of the talent management system	5
9	mobility and succession planning	resilience associated with the workforce	9
10	workforce turnover	fragility associated with the workforce	4
11	skills, capabilities, and development	robustness associated with the workforce	6

69

metrics across the eleven human capital areas, of which 14 are reported as required and 55 as recommended

ISO/TC 260 and specialist publishers, 2025

A SOURCING NOTE YOU SHOULD APPLY TO EVERY VENDOR CLAIM

The eleven area names and the requirement or recommendation split are verifiable from ISO's published front matter and from ISO/TC 260's own announcement. The metric-level detail, including which fourteen metrics are required and how each is calculated, sits in Annex A of the purchased standard. Treat any list of the fourteen that arrives without a clause reference as a summary, not a citation. Buy the standard before you build to it.

what the requirement split actually changes

Under a guidance document, an organisation selects metrics and reports them. Under a document with requirements, a baseline exists and a gap becomes visible. The consequence is governance, not compliance. Once a floor exists, an audit committee can ask why a metric below the floor is missing, and the answer has to be a reason rather than a preference. That is the shift, and it is the reason the second edition is worth reading even where the CSRD does not apply.

The Foreword records the other substantive changes. Alignment with sustainability reporting is enhanced. Materiality is treated more explicitly, including factors related to AI. Guidance is added on productivity and performance disclosures across for-profit, not-for-profit and non-profit sectors. New metrics cover human rights, labour relations, productivity, ethics and well-being. Guidance on responsibilities for data collection, privacy and security is strengthened. The recommended disclosure format is based on the governance, strategy, risk and opportunities, and metrics framework associated with the Task Force on Climate-related Financial Disclosures.

That last point deserves attention from anyone who has only ever produced a metrics table. A TCFD-shaped disclosure pairs every number with governance and strategy narrative and with an explanation of variance. Reporting an attrition rate of 14 percent is a datapoint. Reporting who owns attrition, what the organisation decided to do about it, and why the figure moved from 11 percent is a disclosure. The second edition asks for the second thing.

the standards the requirements point at

ISO 30414:2025 lists normative references, meaning documents whose content forms part of its requirements. Reading them tells you where the metric definitions live, and they are a better place to start than a consultancy summary.

- ISO 30400, human resource management, vocabulary
- ISO/TS 24179, occupational health and safety metrics
- ISO 30415, human resource management, diversity and inclusion
- ISO/TS 30425, workforce availability metrics cluster
- ISO/TS 30427, costs metrics cluster
- ISO/TS 30428, skills and capabilities metrics cluster

- ISO/TS 30432, workforce productivity metrics cluster

Materiality is left with the reporter. The standard states that it does not prescribe a fixed interpretation of materiality, and instead guides producers on determining human capital materiality from the report's intended audience, the organisation's sustainability objectives and the jurisdiction of application. This is a real difference from the ESRS, and the next two chapters turn on it.

> **A standard that names your metrics is worth less than a standard that names your metrics and tells you which ones you may not omit. The second edition does the second thing.**

03 CHAPTER

ESRS S1: the own workforce disclosures HR owns

S1 carries sixteen disclosure requirements. Two apply on their own logic, and one of those is the headcount table that everything else divides by.

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ESRS S1, own workforce, is the standard inside the European framework that HR cannot delegate. It covers employees and non-employees in the undertaking's own workforce, where non-employees means self-employed people contracted to supply labour and people provided by undertakings primarily engaged in employment activities. Workers in the upstream or downstream value chain sit in ESRS S2, not here.

S1 is gated by materiality. The sustainability statement provides information under S1 if own workforce relates to material impacts, risks and opportunities. The revised standard then carves out two exceptions from the usual sub-topic filter. S1-5, characteristics of the undertaking's employees, applies if the undertaking concludes that own workforce is to be reported. S1-6, characteristics of non-employees, applies if non-employees are connected to material impacts, risks or opportunities. Both remain subject to the general filter of materiality of information in ESRS 1.

WHY S1-5 IS THE ANCHOR

S1-5 is not just another table. Its objective states that it serves as the basis for calculating certain quantitative metrics required by other disclosure requirements in the standard. The application requirements then make that explicit: the denominator for performance review participation and for average training hours must be the employee headcount figures from S1-5. Get S1-5 wrong and you have not made one error. You have made several, in different sections, that will not agree with each other.

THE SIXTEEN DISCLOSURE REQUIREMENTS IN THE REVISED ESRS S1, AND WHAT HR HAS TO PRODUCE FOR EACH

DR	title	what HR must produce	type
S1-1	policies related to own workforce	policy description, whether policies cover specific groups within the workforce	narrative
S1-2	engagement with own workforce and workers' representatives	engagement channels, grievance channels, approach to remedy	narrative
S1-3	actions and resources related to own workforce	key actions on negative impacts, and how effectiveness is tracked	narrative
S1-4	targets related to own workforce	qualitative or quantitative targets under ESRS 2 GDR-T	narrative and numeric
S1-5	characteristics of the undertaking's employees	headcount by gender; headcount for each country with 50 or more employees that is among the ten largest; permanent, temporary and non-guaranteed hours by gender; turnover rate of permanent employees; explanation of any inconsistency with the financial statements	numeric, applies whenever own workforce is reported
S1-6	characteristics of non-employees in own workforce	total number of non-employees, headcount or FTE, with the basis stated	numeric, applies where non-employees are connected to material matters
S1-7	collective bargaining coverage and social dialogue	percentage of employees covered by collective agreements, EEA by country and non-EEA by region; workers' representative coverage in the EEA; existence of EWC, SE or SCE works council agreements	numeric and narrative
S1-8	gender diversity in top management	gender distribution in headcount and percentage at top management level	numeric
S1-9	adequate wages	whether employees are paid an adequate wage, the benchmarks used and the countries each applies to, and the countries and percentage affected where they are not	narrative and numeric
S1-10	social protection	the countries of operation where sickness, unemployment, employment injury and acquired disability, or maternity leave are not covered	narrative

DR	title	what HR must produce	type
S1-11	persons with disabilities	percentage of persons with disabilities among employees, subject to legal restrictions on data collection	numeric
S1-12	training and skills development metrics	percentage of employees participating in formalised performance and career development reviews; average training hours per employee	numeric
S1-13	health and safety metrics	OSH management system coverage; fatalities; number and rate of recordable work-related accidents; cases of recordable work-related ill health; days lost	numeric
S1-14	work-life balance metrics	percentage of employees entitled to take family-related leave	numeric
S1-15	remuneration metrics	unadjusted gender pay gap; ratio of the highest paid individual's annual total remuneration to the median	numeric
S1-16	incidents of discrimination and other human rights incidents	substantiated incidents of discrimination, and substantiated human rights incidents excluding discrimination	numeric

the formulas the standard specifies, not the ones you already use

The most expensive mistake in a first reporting cycle is assuming that a metric you already produce satisfies a requirement with the same name. The revised ESRS specifies calculations in its application requirements, and several of them differ from common HR practice.

- **Turnover.** Divide the number of employees who leave voluntarily or due to dismissal, retirement or death in service by the average employee headcount. Retirements and deaths are inside the numerator, which many internal attrition definitions exclude.
- **Collective bargaining coverage.** Employees covered are those to whom the undertaking is obliged to apply the agreement. Union membership is not the test. An employee covered by more than one agreement is counted once.
- **Top management.** Defined as the two levels below the administrative and supervisory bodies. An undertaking may use its own definition, in which case it must disclose the definition used.
- **Performance review participation.** The denominator is the employee headcount according to S1-5, not the population enrolled in the performance system.
- **Average training hours.** Total training hours offered to and completed by employees, divided by total employees, using the S1-5 headcount figures.
- **Recordable accident rate.** Cases divided by total hours worked by people in own workforce, multiplied by one million.

- **Days lost.** Calendar days, including the first full day and the last day of absence. Weekends and public holidays count.
- **Gender pay gap.** Average gross hourly pay level of male employees minus that of female employees, as a percentage of the male average. Basic salary plus any other remuneration available to all employees, in cash or in kind. Unadjusted.

1,000,000

hours worked, the denominator base for the recordable work-related accident rate under ESRS S1-13

Revised ESRS Annex I, AR 25, 2026

Presentation is also specified. S1-5 offers templates for headcount by gender, for headcount by country, and for contract type by gender, with the current and previous reporting period side by side. The gender categories are male, female, other and not reported, with a note that where a third gender is not permitted by law the undertaking may explain that the other category is not applicable. S1-7 offers a banded table for collective bargaining coverage, using ranges of 0 to 19 percent, 20 to 39, 40 to 59, 60 to 79 and 80 to 100.

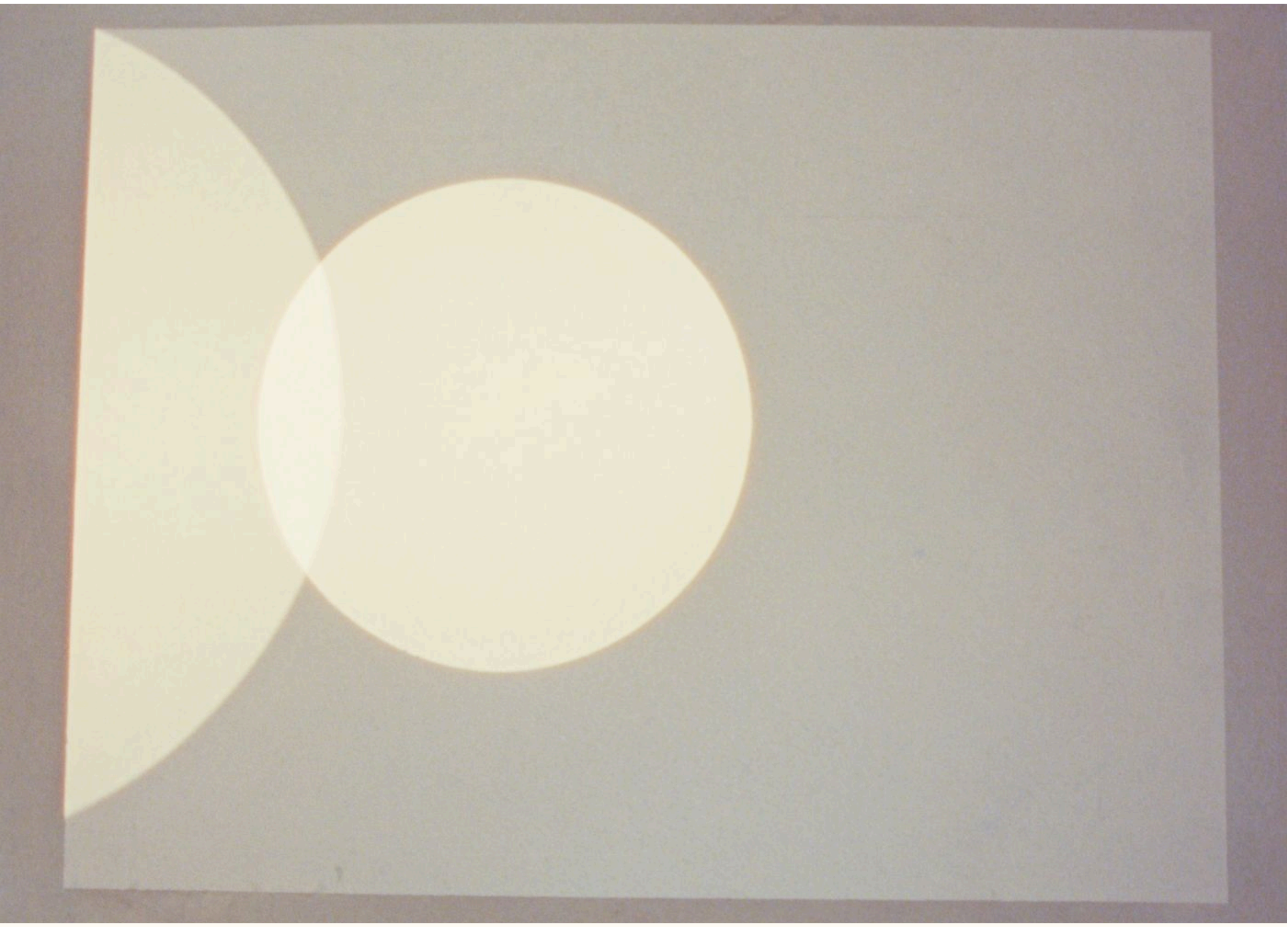
the phase-ins, and when they run out

ESRS 1 contains transitional provisions that let some undertakings omit certain S1 datapoints for financial years prior to FY2027. The list is specific: S1-6, S1-7 for own employees in non-EEA countries, S1-10, S1-11, S1-12, the S1-13 datapoints in paragraph 37(d) and (e) and the non-employee datapoints, and S1-14. Undertakings coming into scope later may omit the same items for their first year of reporting.

Two consequences follow. First, an undertaking whose first reporting year is FY2027 may omit training metrics, work-life balance, disability percentage and social protection in that first year, and must have them for FY2028. Second, an undertaking already reporting has no relief at all from FY2027 onward. The phase-in is a runway, not an exemption, and it is short.

Comparative information follows a different rule that is easy to misread. Wave-one undertakings are not required to disclose comparatives for quantitative metrics in their first year under the revised standards where those metrics are not the same as the metrics required under the 2023 ESRS. The inverse is the point. Where a metric survived the rewrite unchanged, the comparative is required, and the comparative year has already begun.

> **The revised standard did not make workforce reporting smaller. It made it narrower and deeper, which is a harder combination to fake.**



04 CHAPTER

where ISO 30414 and ESRS S1 overlap, and where they diverge

Both ask for headcount, turnover, training, safety and pay. They ask on different boundaries, and that is where the reconciliation work lives.

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It is tempting to treat ISO 30414 and ESRS S1 as two views of one dataset. They are not, and the difference is structural rather than cosmetic. ISO 30414 is a voluntary management and disclosure standard covering internal and external reporting, with materiality left to the reporter. ESRS S1 is law, applies only to external reporting inside a sustainability statement, and is gated by a double materiality assessment. A single warehouse can serve both, but only if the definitions are held separately and mapped deliberately.

CROSSWALK FROM THE ISO 30414:2025 HUMAN CAPITAL AREAS TO THE NEAREST REVISED ESRS S1 DISCLOSURE REQUIREMENT

ISO 30414:2025 area	nearest ESRS S1 requirement	relationship	what differs in practice
workforce composition	S1-5, S1-6	close	ESRS fixes the country rule at 50 or more employees in the ten largest countries; ISO works from its own system levels and units of workload
diversity	S1-8, S1-11	partial	ESRS narrowed to gender at top management plus disability percentage; ISO covers a wider demographic set
costs	no ESRS S1 requirement	no overlap	workforce cost has no home in the revised S1; it survives only through ISO or your own management reporting
productivity	no ESRS S1 requirement	no overlap	revenue or profit per FTE is absent from S1; ISO carries it through the productivity metrics cluster
health, safety, and well-being	S1-13	close	ESRS specifies the per million hours rate and calendar-day counting; well-being is not an ESRS metric
leadership, culture and engagement	S1-2 in part	weak	ESRS asks about engagement channels, not engagement scores; culture indices remain internal
compliance, ethics, and workforce relations	S1-7, S1-16	partial	ESRS asks for collective bargaining coverage and substantiated incidents; ISO's area is broader and includes ethics measures
recruitment	no ESRS S1 requirement	no overlap	time to fill, cost per hire and quality of hire have no ESRS S1 home
mobility and succession planning	no ESRS S1 requirement	no overlap	succession depth and internal mobility remain management metrics
workforce turnover	S1-5, paragraph 20(d)	close but not identical	ESRS defines a single turnover rate for permanent employees with a specified numerator; ISO carries a wider turnover cluster
skills, capabilities, and development	S1-12	partial	ESRS asks only for review participation and average training hours; ISO covers a broader skills set through ISO/TS 30428

four divergences that cost real time

1. **Population boundary.** The ESRS own workforce includes non-employees, meaning self-employed people contracted to supply labour and agency-provided people. Most HR systems do not hold them. Most procurement systems do, in a form that cannot be counted by headcount or FTE without work. This is the single most common reason an S1-6 number is unavailable in year one.
2. **Materiality gate.** ISO leaves materiality to the reporter. ESRS runs it through a double materiality assessment that is performed at group level, often by a sustainability function, sometimes without HR in the room. If own workforce is assessed as material and HR learns in the fourth quarter, the readiness clock has already run.
3. **Audience.** ISO covers internal and external reporting in one document. ESRS covers external only. A number that is good enough to steer an internal decision is not automatically good enough to publish, and the tiering framework in the final chapter exists to keep that distinction honest.
4. **What is absent.** The revised ESRS S1 contains no workforce cost metric and no workforce productivity metric. Two of ISO's eleven areas have no European regulatory pull at all. If you build your metric roadmap by following the regulation, cost and productivity drop off the calendar, and those are the two areas a CFO asks about most.

THE ONE-DICTIONARY RULE

Hold one internal metric dictionary and generate views from it, rather than maintaining a CSRD set and an ISO set in parallel. Each metric entry carries one canonical definition plus a mapping row per framework, recording where the framework definition differs and how the reconciliation is performed. Two dictionaries always drift, and the drift is discovered by an assurance provider rather than by you.

The crosswalk above is a starting hypothesis, not a conclusion. Names match far more often than definitions do. Treat every apparent match as something to be tested: pull the ISO definition from Annex A or the relevant technical specification, pull the ESRS definition from the disclosure requirement and its application requirements, and write down the difference in one sentence. If you cannot write that sentence, you have not yet mapped the metric.

ISO's own introduction records that the second edition was developed with reference to related frameworks including GRI, integrated reporting, SASB, ESRS S1, IFRS and ISSB S1, SEC disclosure and TCFD. Convergence is intended. Convergence is not the same as equivalence, and global standard-setting continues to move. Any statement about alignment should carry a date, including the ones in this document, which are current as at 8 September 2026.

> **Two frameworks that use the same word for a different population have not converged. They have created a reconciliation task and given it an agreeable name.**

There is one practical benefit to the divergence. Because the ESRS set is now narrow, the reconciliation surface is small. Roughly twenty numbers carry the European obligation. That is a set a competent team can bring to evidential quality in two cycles, provided the work starts from a definition and not from a dashboard.

05 CHAPTER

the metric-by-metric readiness checklist

Score every workforce number on one five-level ladder before you promise it to anyone. The score, not the number, is what you report upward.

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Most readiness assessments produce a colour. Red, amber, green tells a steering committee how someone feels about a metric. It does not tell them what may be done with it. A readiness model is useful only if each level attaches to a permitted use, so that a level three number and a level one number cannot both end up in the same table.

FRAMEWORK

the metric readiness ladder

Five levels, each defined by a test that a second person can run without you, and each attached to what the number may be used for.

01 **L0 asserted**

A number exists in a document. No written definition, no formula, no stated population. Permitted use: internal discussion only. Never a target, never a board paper.

02 **L1 defined**

A written definition exists and is approved. It states the formula with numerator and denominator separately, the population, the boundary, the period and the unit. Permitted use: internal management reporting, clearly labelled as unaudited.

03 **L2 reproducible**

A named person can rebuild the number from source records within one working day and reach the same answer to the stated precision. Permitted use: board reporting and internal targets.

04 **L3 controlled**

The rebuild is documented as a saved, versioned extract. A second person independently reproduced it. Exceptions, manual adjustments and excluded entities are logged with reasons. Permitted use: voluntary external disclosure and investor response.

05 **L4 evidenced**

A complete lineage record exists, a prior period figure on the same basis is available, and the control over the source record has been tested by someone outside the process. Permitted use: statutory disclosure and any figure subject to assurance.

One promotion rule governs the whole ladder. A composite number sits at the level of its weakest input, not its average. Average training hours per employee cannot reach L4 while the learning system's completion records are at L1, no matter how well controlled the headcount denominator is. This rule is what stops readiness scores from inflating quietly across a reporting cycle.

THE READINESS LADDER, WITH THE EVIDENCE EACH LEVEL REQUIRES

level	the test	evidence on file	permitted use
L0 asserted	someone can state the number	none	internal discussion
L1 defined	an approved definition exists and matches the number produced	definition document with formula, population, period and unit	internal management reporting
L2 reproducible	one person rebuilds it from source in a working day	rebuild note with system names and record counts	board reporting, internal targets
L3 controlled	a second person reproduces it from the documented method	versioned extract, exception log, reviewer sign-off	voluntary external disclosure
L4 evidenced	an independent party can follow the number to source without the preparer	full lineage record, tested source control, comparative on the same basis	statutory disclosure and assured figures

The table below applies the ladder to the workforce numbers that carry a European obligation, plus the two ISO areas with no ESRS home. The minimum level column is a recommendation, not a rule from any standard. Where a figure carries a numeric threshold consequence or feeds another calculation, the recommended minimum is higher.

THE METRIC-BY-METRIC READINESS CHECKLIST

workforce number	where it is required	definition anchor	usual system of record	the failure that shows up first	minimum level to publish
total employees by headcount, with gender breakdown	ESRS S1-5, paragraph 20(a)	S1-5 template, AR 8 on method	core HR system	the headcount date differs from the balance sheet date, and nobody documented which was used	L4
headcount by country, 50 or more employees, ten largest countries	ESRS S1-5, paragraph 20(b)	S1-5, AR 7	core HR system and payroll	country of contract confused with country of work location for mobile and remote staff	L3
permanent, temporary and non-guaranteed hours employees	ESRS S1-5, paragraph 20(c)	national law definitions per AR 7	core HR system	one global contract type list mapped to national categories by assumption rather than by legal review	L3
turnover rate of permanent employees	ESRS S1-5, paragraph 20(d)	AR 11 formula	core HR system	retirements and deaths in service excluded from the numerator by an internal attrition convention	L4
explanation where headcount differs from the financial statements	ESRS S1-5, paragraph 20(e)	S1-5	HR and group finance jointly	no one owns the difference, so it is discovered during assurance	L3
total non-employees in own workforce	ESRS S1-6, paragraph 22	AR 12 on materiality, AR 13 on method	procurement and vendor management	agency workers are visible only as invoice lines, with no headcount or FTE basis	L2
collective bargaining coverage, total	ESRS S1-7, paragraph 24(a)	AR 14 formula	employee relations records	coverage counted by union membership rather than by obligation to apply the agreement	L3

workforce number	where it is required	definition anchor	usual system of record	the failure that shows up first	minimum level to publish
collective bargaining coverage by EEA country and non-EEA region	ESRS S1-7, paragraphs 24(b) and 24(c)	AR 15 banded table	employee relations records	no country-level agreement register outside the headquarters country	L2
workers' representative coverage, EEA	ESRS S1-7, paragraph 25(a)	AR 16 formula, establishment basis	site and facilities records	no register of establishments, so the denominator cannot be built	L2
gender distribution at top management	ESRS S1-8, paragraph 27	AR 17, two levels below the board	position management data	management level defined by grade or title rather than by reporting distance from the board	L3
adequate wage assessment and benchmark	ESRS S1-9, paragraph 29	AR 19 and AR 20	payroll and reward	the lowest wage taken from a grade minimum instead of actual pay, and no benchmark named per country	L2
countries where social protection does not cover the four life events	ESRS S1-10, paragraph 31	S1-10	benefits and mobility records	no country-level benefits register, so the answer is assembled from memory	L2
percentage of persons with disabilities among employees	ESRS S1-11, paragraph 33	AR 21, subject to legal restrictions	voluntary self-identification records	countries where the data cannot lawfully be collected are treated as zero rather than excluded and explained	L2
participation in formalised performance and career development reviews	ESRS S1-12, paragraph 35(a)	AR 22 formula, denominator from S1-5	performance system	the denominator is taken from the performance system population, not from S1-5	L3
average training hours per employee	ESRS S1-12, paragraph 35(b)	AR 23 formula	learning system	hours offered are counted whether or not completed, and digital learning	L3

workforce number	where it is required	definition anchor	usual system of record	the failure that shows up first	minimum level to publish
				duration is estimated with no stated basis	
OSH management system coverage	ESRS S1-13, paragraph 37(a)	AR 24, headcount basis	EHS system	coverage asserted at policy level with no site-by-site evidence	L3
fatalities, own workforce and workers on the undertaking's sites	ESRS S1-13, paragraph 37(b)	S1-13	EHS system	workers on site who are outside own workforce are omitted from the accident fatality count	L4
number and rate of recordable work-related accidents	ESRS S1-13, paragraph 37(c)	AR 25, per one million hours	EHS system and time records	hours worked are estimated with no stated basis, or national accident definitions are mixed without disclosure	L4
cases of recordable work-related ill health	ESRS S1-13, paragraph 37(d)	AR 27	occupational health records	musculoskeletal cases recorded as accidents rather than as ill health	L2
days lost to recordable accidents and ill health	ESRS S1-13, paragraph 37(e)	AR 28, calendar days	absence records	working days used instead of calendar days, understating the figure	L3
percentage of employees entitled to family-related leave	ESRS S1-14, paragraph 39	AR 29 and AR 30	policy and terms register	entitlement confused with usage, producing a figure well below the true one	L2
unadjusted gender pay gap	ESRS S1-15, paragraph 41(a)	AR 31, AR 32 and AR 33, gross hourly pay	payroll	annual salary used instead of gross hourly pay, which distorts every part-time population	L4
highest paid to median annual total remuneration ratio	ESRS S1-15, paragraph 41(b)	AR 35	payroll and executive reward	long-term incentive fair value omitted from the numerator	L3

workforce number	where it is required	definition anchor	usual system of record	the failure that shows up first	minimum level to publish
substantiated discrimination and human rights incidents	ESRS S1-16, paragraph 43	S1-16	case management and ethics line	cases counted when opened rather than when substantiated, and privacy restrictions unaddressed	L3
workforce cost and workforce productivity	ISO 30414:2025 areas 3 and 4	ISO/TS 30427 and ISO/TS 30432	finance ledger joined to HR	no European reporting pull, so the metric drops off the calendar and the CFO asks for it anyway	L2

five failures that appear in almost every first cycle

1. **Date drift.** Headcount measured at month end, payroll at period end, safety at calendar year end, and the financial statements at the balance sheet date. Four numbers, four dates, no reconciliation. Fix the measurement date convention first, in writing, and apply it everywhere.
2. **Denominator borrowing.** Percentages calculated against whatever population the source system holds. The standard is explicit that the S1-5 headcount is the denominator for the training metrics. Any percentage in the statement whose denominator is not traceable to a published figure is a finding waiting to happen.
3. **Silent exclusions.** A recently acquired entity, a joint venture, a country with a separate payroll. Each is excluded for a defensible reason, and none of the reasons is recorded. The exclusion becomes visible only when the total does not agree with the financial statements.
4. **Estimate laundering.** An estimate enters a spreadsheet, is copied into a slide, and is quoted a quarter later as a figure. Every estimate needs a marker that survives copying, and the marker belongs in the metric record rather than in a footnote.
5. **Definition change without a version.** A team improves a definition mid-year and the new figure is not comparable with the old one. Version every definition, date the change, and state which version produced each published figure.

the ten-minute readiness test for any single metric

- [ ] Can you name the person accountable for the number, in the system that holds it rather than in HR?
- [ ] Is there a written definition, and does the published figure match it exactly?
- [ ] Are the numerator and denominator stated separately, with their populations?
- [ ] Is the measurement date convention written down and applied across every input?
- [ ] Can you name every entity excluded, and state the size of what was excluded?
- [ ] Is any part of the number an estimate, and is the estimation method recorded?
- [ ] Has anyone other than the preparer reproduced the number in the last two periods?
- [ ] Do you have the prior period figure on the same definition, not on the old one?
- [ ] If the number moved more than the materiality threshold, do you know why in one sentence?
- [ ] If it turned out to be wrong, do you know what you would have to restate?

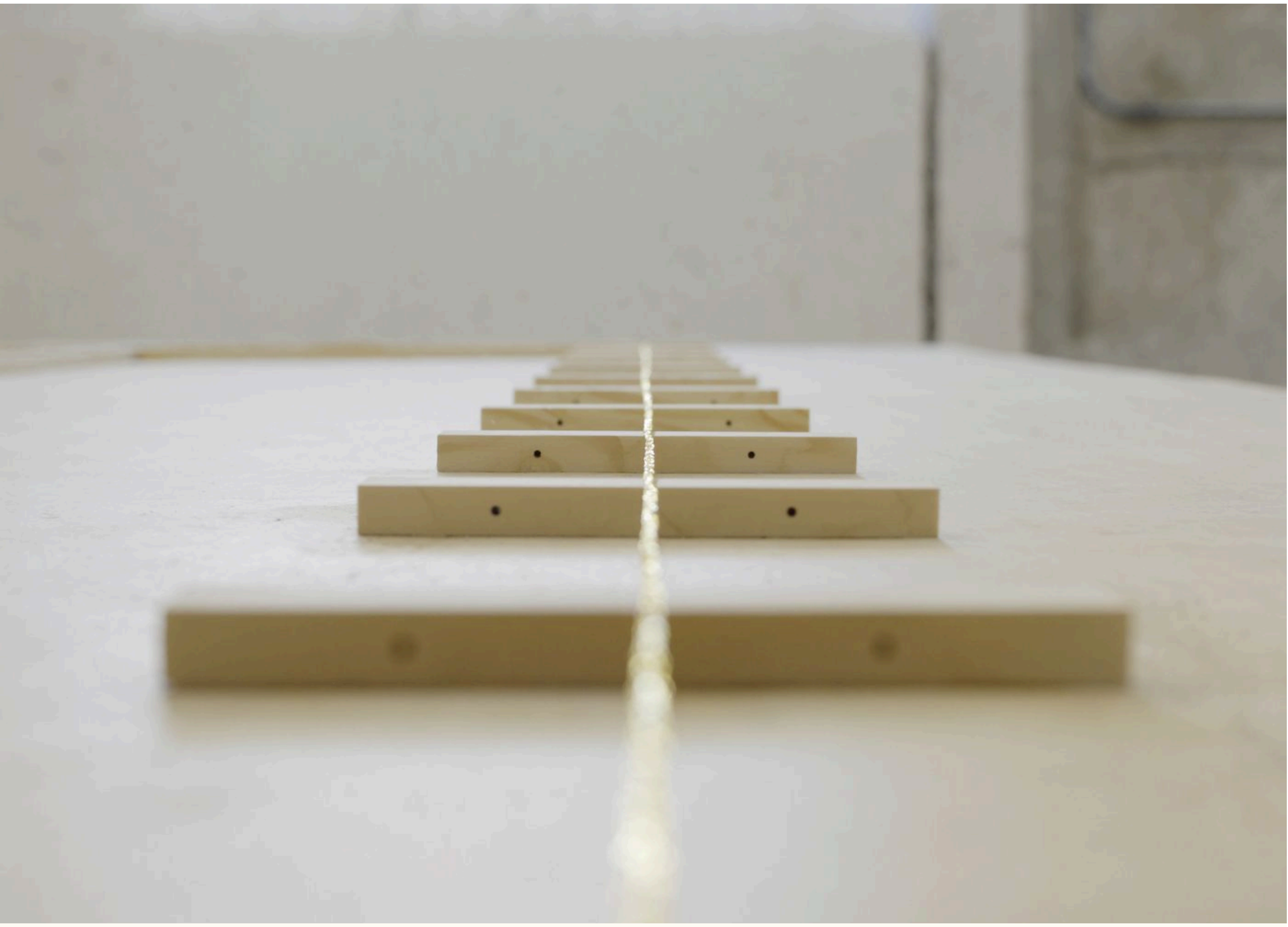
L3

the minimum readiness level at which a workforce number should leave the organisation, even voluntarily

the metric readiness ladder, 2026

Score the portfolio, not just each metric. The readiness index is the share of metrics inside your publication scope that sit at L3 or above, tracked monthly against a target date. It is a better management number than a project percentage complete, because it degrades honestly when a definition changes and it cannot be improved by writing documents that no one has tested.

> **Readiness is not how confident you feel about a number. It is how quickly a stranger can rebuild it without asking you a question.**



06 CHAPTER

data lineage: proving a number to an assurance standard

Assurance does not test your number. It tests whether someone can rebuild it from source records without you in the room.

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Statutory assurance of sustainability reporting in the EU is set at limited assurance. Directive (EU) 2026/470 removed the empowerment to adopt reasonable assurance standards, and requires the Commission to adopt limited assurance standards no later than 1 July 2027. As at 8 September 2026 those harmonised standards did not exist. Until they do, assurance practice is set nationally, so confirm the position in every Member State where the group files.

The absence of harmonised standards is not a reason to wait. The evidential expectations are already visible in the reporting standard itself, and they are more demanding than most HR functions expect. The general disclosure requirement for metrics, GDR-M, sets out what must accompany every metric in the statement.

- the metric itself, its unit of measurement, the calculation methodology and the sources, including input parameters, used for the calculation
- where relevant, the estimation methodology, including significant assumptions and limitations
- for value chain metrics, reliance on indirect sources or proxies, and planned actions to improve data quality
- contextual information about the metric
- significant changes in performance against previous periods, including progress against targets, and the effect of major acquisitions or disposals

Read that list as a specification for a record rather than as a disclosure instruction, and the shape of the work becomes clear. Every published workforce number needs a companion document that already contains those items, maintained continuously, not assembled in the week before the audit committee meets.

FRAMEWORK

the workforce number passport

One record per published metric, sixteen fields, maintained by the metric owner and reviewed each reporting period.

01 **identity**

Metric name, internal code, and the requirement it satisfies, cited to the standard, disclosure requirement and paragraph. One passport serves one requirement. A metric that satisfies two frameworks carries two mapping rows, not two passports.

02 **definition**

Plain language definition, then the formula with numerator and denominator written separately. If a person cannot compute the metric from this field alone, the field is incomplete.

03 **population and boundary**

Who is in and who is out, listed by entity. Employees, non-employees, joint ventures, entities acquired or disposed of during the period. Each exclusion carries a reason and an approximate size.

04 **timing**

Period covered, measurement date convention, and whether the figure is a point-in-time count or a period average. This single field prevents most reconciliation failures.

05 **sources**

The system of record for each input, named specifically, with the field or table. Not the reporting layer. Not the dashboard. The system in which the fact was first recorded.

06 **extraction**

How the data leaves each source: the saved query, report identifier or extract job, with a version reference and the date it was last changed.

07 **transformation**

Every step applied between extraction and publication, in order, including joins, mappings, currency conversion, rounding and any manual adjustment. Manual adjustments carry an approver.

08 **estimates**

Any estimated component, with the method, the significant assumptions and the stated limitations. This field maps directly to GDR-M and to the ESRS 1 requirement to disclose significant uncertainties.

09 **controls**

The control that makes the source record reliable, who performs it, how often, and when it was last tested by someone outside the process.

10 **people**

Preparer, reviewer and approver, each named with a date. The approver is accountable for the figure, not for the process.

11 **comparatives**

The prior period figure on the current definition, and where the two differ, the restated basis and the reason.

12 **movement**

The explanation for any movement above the materiality threshold, in one sentence, written when the figure is produced rather than when it is questioned.

13 **restatement history**

Every restatement, with the date, the cause, the periods affected and who approved it. An empty field is a valid answer. A missing field is not.

14 **known limitations**

What is weak about this number today, and the plan and date for removing the weakness. Assurance providers respond better to a disclosed limitation than to a discovered one.

15 **readiness level**

The current level on the metric readiness ladder, the date it was assessed, and by whom.

16 **disclosure tier**

The tier this number currently occupies, and the date of its last promotion or demotion.

THE PASSPORT APPLIED TO AVERAGE TRAINING HOURS PER EMPLOYEE

field	what it holds	worked example
identity	metric, code, requirement	average training hours per employee; HC-TRN-02; ESRS S1-12 paragraph 35(b)
definition	formula with parts separated	numerator: total training hours offered to and completed by employees in the period. denominator: total employees per ESRS S1-5
population and boundary	entities in and out	all consolidated entities. two entities acquired in October excluded, approximately 3 percent of headcount, reason and size recorded
timing	period and date convention	1 January to 31 December. denominator taken on the S1-5 basis, which is the balance sheet date
sources	system of record per input	learning management system, completion records table; core HR system, employment records table
extraction	query and version	saved report LMS-COMPL-07 version 4, last changed 12 February; HR extract HRX-HC-02 version 9
transformation	steps in order	filter to completed records; convert digital learning durations using the published duration table; join to employment records on employee identifier; exclude non-employees
estimates	method, assumptions, limitations	digital learning durations estimated from published course length. assumption: full completion. limitation: overstates for learners who exit early
controls	control and last test	monthly reconciliation of completion counts to enrolment records by the learning operations lead, tested by internal audit in the second quarter
people	preparer, reviewer, approver	named individuals with dates, reviewer independent of the preparer
comparatives	prior figure on current definition	prior period figure restated on the current definition, with the difference explained
known limitations	weakness and plan	digital duration estimation to be replaced by measured time in system from the third quarter

the four evidence layers

1. **Source record.** The point at which the fact was first captured, and the control that makes it reliable. An accident report signed at the site. A payroll instruction approved by a manager. A completion record written by the learning platform. If the source record is weak, nothing downstream can fix it.

2. **Extraction.** The saved, versioned, repeatable route from the source to your working set. A query that only one analyst can run is not an extraction layer. It is a dependency.
3. **Transformation.** Every mapping, join, conversion and adjustment, in order, with the manual ones separately identified and approved. Manual adjustment is not forbidden. Unrecorded manual adjustment is fatal.
4. **Presentation.** The published figure, its rounding, its unit, its comparative and its narrative. Rounding is where reconciliation errors hide, because a table that sums correctly at one decimal place may not sum at zero.

Restatement is the mechanism that turns all of this from good practice into obligation. ESRS 1 requires the undertaking to correct material prior period errors by restating the comparative amounts for the prior periods disclosed, unless it is impracticable. Where the effect cannot be determined for all prior periods presented, the comparative is restated from the earliest practicable date. The requirement does not extend back before the first year of ESRS application.

WHAT COUNTS AS AN ERROR

The application requirements define prior period errors as omissions and misstatements arising from a failure to use, or the misuse of, reliable information that was available when the report was authorised for issue and could reasonably have been obtained. The list of examples includes mathematical mistakes, mistakes in applying the definitions for metrics or targets, oversights or misinterpretations of facts, and fraud. Misapplying a metric definition is an error, not a change of approach. That distinction is the reason definitions must be versioned and dated.

ESRS 1 also requires disclosure of the judgements with the most significant effect on reported information, the significant uncertainties affecting what is presented including reliance on estimates, and the significant assumptions and limitations in those estimates. A reporting team that has kept passports has already written this. A team that has not will write it from memory in the final fortnight, which is where errors enter.

the assurance-day file

- [ ] A metric register listing every published workforce number with its requirement citation and its owner
- [ ] A current passport for each one, with the preparer, reviewer and approver named and dated
- [ ] The versioned extract or query for every source, runnable by someone other than the author
- [ ] A reconciliation from the published headcount to the figure used in the financial statements, with the difference explained
- [ ] The exception log for the period, listing manual adjustments with approvers
- [ ] The exclusion register, listing every entity out of scope with the reason and approximate size
- [ ] The estimation register, listing each estimated component with method, assumptions and limitations
- [ ] Evidence of independent reproduction for every metric at L3 or above, dated within the period
- [ ] The definition version history, showing which version produced each published figure
- [ ] The prior period figures on the current definitions, with restatements identified
- [ ] The control testing evidence for each source system in scope
- [ ] A one-page movement commentary for every figure that moved above the materiality threshold

> **The number is not the deliverable. The rebuildable path to the number is the deliverable, and it is the only part that survives a change of team.**

One organisational point closes this chapter. Passports are maintained by the owner of the source system, not by the reporting team. A reporting team that writes lineage on behalf of others is documenting its own understanding, which is exactly the thing that fails when that team changes. Put the record where the data is created, and review it centrally.

07 CHAPTER

pay transparency and the reporting it pulls forward

Pay transparency is a separate directive on its own clock. It forces the pay data quality that the sustainability standards quietly assume you already have.

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Directive (EU) 2023/970 strengthens the application of equal pay for equal work through pay transparency and enforcement mechanisms. Member States were required to bring into force the laws necessary to comply by 7 June 2026. It is a distinct instrument from the CSRD, with a distinct scope, and it reaches employers that will never file a sustainability statement.

Article 9 requires employers to provide seven items of information about their organisation. The list is worth reading in full, because it is materially more demanding than the single figure required by ESRS S1-15.

- the gender pay gap
- the gender pay gap in complementary or variable components
- the median gender pay gap
- the median gender pay gap in complementary or variable components
- the proportion of female and male workers receiving complementary or variable components
- the proportion of female and male workers in each quartile pay band
- the gender pay gap between workers by categories of workers, broken down by ordinary basic wage or salary and by complementary or variable components

PAY REPORTING OBLIGATIONS BY EMPLOYER SIZE UNDER DIRECTIVE (EU) 2023/970

employer size	first report due	frequency	provision
250 workers or more	7 June 2027	every year thereafter	Article 9(2)
150 to 249 workers	7 June 2027	every three years thereafter	Article 9(3)
100 to 149 workers	7 June 2031	every three years thereafter	Article 9(4)
fewer than 100 workers	not required by the Directive	voluntary, and Member States may require it under national law	Article 9(5)

How workers are counted for these thresholds depends on national transposition, and the answer determines whether a group counts by legal entity, by establishment or by some other unit in each Member State. Confirm it locally before sizing the work. A group that assumes consolidation will find several small entities in scope that it had not planned for.

Article 10 is where reporting turns into obligation. A joint pay assessment must be conducted with workers' representatives where three conditions are all met. The pay reporting shows a difference in average pay level between female and male workers of at least 5 percent in any category of workers. The employer has not justified that difference on objective, gender-neutral criteria. The employer has not remedied the unjustified difference within six months of submitting the pay reporting.

THE SIX-MONTH CLOCK

The six months runs from the date of submission of the pay reporting, not from the date the gap is noticed or investigated. That means the justification analysis has to be complete before the report is filed, not after. Any category of workers where the gap is near 5 percent needs its objective, gender-neutral explanation documented in advance, or the clock starts against you.

5%

the difference in average pay level between female and male workers in any category that, unjustified and unremedied within six months, triggers a joint pay assessment

Directive (EU) 2023/970, Article 10, 2023

Two further provisions change how the underlying data must be maintained. Article 9(6) requires the accuracy of the information to be confirmed by the employer's management after consulting workers' representatives, and gives workers' representatives access to the methodologies the employer applied. Article 7 gives workers the right to request their individual pay level and the average pay levels broken down by sex for categories of workers performing the same work, with a reply required within two months.

Consider what that combination means for lineage. Your pay methodology is disclosable to workers' representatives, and individual workers can ask for the average for their own comparator group. A pay gap methodology that exists only in an analyst's spreadsheet cannot meet either requirement. This is the same passport discipline described in the previous chapter, arriving through employment law instead of through the sustainability statement.

WHY THE TWO PAY GAP NUMBERS ARE NOT THE SAME NUMBER

dimension	ESRS S1-15 paragraph 41(a)	Directive (EU) 2023/970 Article 9
pay basis	gross hourly pay level, including basic salary and other remuneration available to all employees, in cash or in kind	ordinary basic wage or salary, reported separately from complementary or variable components
central tendency	mean, expressed as a percentage of the male average	mean and median, each required
distribution	not required	proportion of female and male workers in each quartile pay band
cut of the workforce	one unadjusted figure for the undertaking	by categories of workers, in addition to the organisation-wide figures
variable pay	included inside the single figure	reported separately, with the proportion of each sex receiving it
consequence of a gap	contextual explanation, with adjusted figures optional	joint pay assessment where the Article 10 conditions are met

The sequencing conclusion is straightforward. Two prerequisites sit under both regimes. The first is a job architecture that supports categories of workers, meaning groups performing the same work or work of equal value, defined on criteria you can defend. The second is a payroll dataset that resolves to gross hourly pay, which requires reliable contracted hours for every employee, including part-time and variable-hours populations. Neither can be built in a quarter.

For groups headquartered in Southeast Asia, the Middle East or India, the reach here is narrower than the CSRD but more immediate. The pay transparency obligations attach to employers in the Member State, so a European subsidiary of a few hundred people can be in scope while the parent is far outside CSRD thresholds. The first reports for employers with 250 or more workers are due by 7 June 2027, which for a calendar-year employer means the 2026 pay data is already the reference year in most transpositions. Confirm the reference period in each Member State.

> **A pay gap you cannot explain by category is not a reporting problem. It is a six-month countdown with a statutory remedy at the end of it.**

There is a second-order benefit worth naming. The work required by Article 9 produces exactly the pay dataset that makes ESRS S1-15 straightforward, and it produces it under an obligation with an earlier deadline. Where both regimes apply, build for the pay transparency requirement and derive the sustainability figure from it. Building the other way round produces a single number and none of the underlying structure.

08 CHAPTER

a two-year readiness plan to the FY2027 reporting year

For a calendar-year group FY2027 starts in under four months. Where a metric survived the rewrite unchanged, its comparative year has already started.

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The revised standards apply to financial years beginning on or after 1 January 2027. For a calendar-year group that is 1 January 2027, and the statement is published during 2028. Counting backwards from the publication date makes the work look comfortable. Counting backwards from the first day of the reporting year does not, because from that date every source system has to be capturing what the standard needs, in the form the standard needs it.

THE COMPARATIVE TRAP

Wave-one undertakings are relieved from disclosing comparatives in their first year under the revised standards only where the quantitative metric is not the same as the metric required under the 2023 ESRS. Read the inverse. Headcount by gender, turnover, the accident rate and the unadjusted gender pay gap largely survived the rewrite. For those, the comparative year is FY2026, which is running now. First-time reporters classed as other undertakings are not required to disclose comparatives for their first financial year of reporting.

A TWO-YEAR PLAN FROM THE FOURTH QUARTER OF 2026 TO PUBLICATION IN 2028

period	workstream	output	test that it is done
Q4 2026	scope and inventory	confirmed materiality position on own workforce; the list of metrics in publication scope; a named owner for each, in the source system	an executive can name the owner of any metric on the list without checking
Q4 2026	baseline scoring	every metric scored on the readiness ladder, with the portfolio readiness index published	a second person reproduces three scores at random and agrees
Q1 2027	definitions	an approved, versioned definition for every metric, with the framework mapping rows and the reconciliation sentence for each difference	no metric in scope lacks a numerator and denominator stated separately
Q1 2027	lineage	a passport opened for every metric at L2 or above, with sources and extraction routes named	any passport can be opened and read by someone outside the team
Q2 2027	controls	source system controls identified and scheduled for testing; the exception and exclusion registers live	internal audit has tested at least the payroll, EHS and core HR controls
Q2 2027	first dry run	a full set of figures produced on FY2026 data using FY2027 definitions, with the movement commentary written	the dry run is completed inside the target close timetable, not beyond it
Q3 2027	gap closure	the non-employee population resolved with procurement; the establishment register built; the country benefits register built	S1-6 and S1-7 can be produced without a manual survey
Q3 2027	independent reproduction	every metric at L3 or above reproduced by a second person, with evidence filed	the readiness index reaches its target, with no metric published below L3
Q4 2027	year-end readiness	measurement date convention locked; comparatives prepared on current definitions; the restatement policy approved	the reconciliation from headcount to the financial statements figure is drafted before year end
Q1 2028	close and assurance	the assurance-day file assembled; management representations drafted; findings tracked to closure	the assurance provider's first information request is answered from the existing file
Q2 2028	publication and review	the statement filed; a post-cycle review recording every question asked and how long each answer took	the review produces a shorter list of weaknesses than the previous cycle

FRAMEWORK

the tiered workforce disclosure set

Three tiers with explicit promotion and demotion rules, so that a number's evidence and its audience never drift apart.

01 **tier 3, operating**

Numbers used to run HR. Wide, fast, tolerant of estimates. Owned by the process owner. Evidence required: an approved definition. Permitted audience: the function and its immediate stakeholders. This tier should be large, and its size is not a problem.

02 **tier 2, managed**

Numbers shown to the executive committee and the board, used in targets, or supplied to investors on request. Owned by the people analytics lead. Evidence required: a passport and one documented reproduction. Permitted audience: internal governance and bilateral external requests.

03 **tier 1, disclosed**

Numbers that enter the management report, any assured statement or any public filing. Owned by a named accountable executive. Evidence required: a complete passport, tested source control, a comparative on the same definition and an approved restatement policy. Permitted audience: everyone.

04 **promotion rule one**

No number enters tier 1 without two consecutive periods in tier 2 with no definition change. A metric that changed definition last quarter has no track record, whatever its documentation says.

05 **promotion rule two**

A number is promoted at the level of its weakest input, not its headline. This is the same rule as the readiness ladder, applied to audience rather than to use.

06 **promotion rule three**

Promotion requires a named owner inside the system of record, not inside HR. If the only accountable person is a reporting analyst, the number is not ready to leave the building.

07 **demotion rule one**

A metric whose definition changes drops to tier 2 for one period. A metric that is restated drops to tier 2 for two periods. Demotion is a normal event, logged rather than argued.

08 **the cap**

Tier 1 is capped at what the team can rebuild from source within one week. Every addition to tier 1 either displaces something or comes with resourcing. A capped tier 1 is the only mechanism that reliably stops disclosure creep.

what this means for a group headquartered outside the EU

A company headquartered in Southeast Asia, the Middle East or India can be pulled into this framework by two distinct routes, and the two behave very differently. Confusing them leads to either over-reporting or an unpleasant surprise.

1. **The third-country route, Article 40a of the Accounting Directive.** Directive (EU) 2026/470 amended the thresholds. The rule applies only where the third-country undertaking, at group level or where not applicable at individual level, generated net turnover in the Union exceeding 450 million euro in each of the last two consecutive financial years, raised from 150 million euro. It then reaches EU subsidiaries with net turnover exceeding 200 million euro in the preceding financial year, or, where there is no such subsidiary, branches with net turnover exceeding 200 million euro. Reporting under Article 40a is not the same as reporting under Articles 19a and 29a: the subsidiary or branch publishes and makes accessible the report provided by the third-country parent, rather than reporting on its own behalf.
2. **The value chain route.** This is the one that reaches far more companies, and it now has a ceiling. Directive (EU) 2026/470 provides that the reporting standards may not require an undertaking to obtain, from undertakings in its value chain that do not exceed an average of 1,000 employees during the financial year, any information beyond what is disclosed under the sustainability reporting standards for voluntary use. A new Article 29ca empowers the Commission to establish those voluntary standards, based on Commission Recommendation (EU) 2025/1710, and the assurance provisions were amended to require that the opinion fully respects the right of such undertakings to decline requests that exceed them.

The practical reading for a supplier is precise and useful. If you employ 1,000 people or fewer on average, an EU customer cannot require workforce information beyond the voluntary standard, and you have an express right to decline. If you employ more than 1,000, that ceiling does not protect you, and customer questionnaires can reach further. Either way, the voluntary standard is now the natural boundary for a supplier response, and answering it well once is cheaper than answering forty questionnaires badly.

450m

euro of net turnover in the Union in each of the last two consecutive financial years, the raised threshold before a non-EU parent falls under Article 40a

Directive (EU) 2026/470, 2026

Regional regimes are moving on their own timetables alongside all of this, in India, across the Gulf and among the ASEAN exchanges. This document does not summarise them, because their requirements change frequently and a stale summary is worse than none. The structural advice holds regardless: build one internal metric dictionary with lineage, and generate each regime's view from it. The definitions differ. The source records do not.

the first ninety days

1. Confirm in writing whether own workforce is material under the group's assessment, and get the date the assessment was performed.
2. Publish the list of workforce metrics in publication scope, with a named owner for each in the source system rather than in HR.
3. Score every one of them on the readiness ladder, and publish the portfolio readiness index to the audit committee.
4. Fix the measurement date convention for the whole set, in one document, and circulate it to every source system owner.
5. Reconcile the current headcount to the figure in the financial statements, and write down what explains the difference.
6. Open passports for the six numbers with the highest consequence, which are usually headcount, turnover, the accident rate, days lost, the gender pay gap and training hours.
7. Identify who holds the non-employee population, and agree with procurement how it will be counted.
8. Set the tier 1 cap, and name what is inside it.

> **Nothing in this timetable is difficult. All of it is sequential, which is why teams that start in the last two quarters never finish.**

The organisations that will find FY2027 uneventful are not the ones with the most sophisticated analytics. They are the ones that decided early which numbers they would stand behind, wrote down how each is built, and refused to publish anything they could not rebuild. That is a governance choice, made once, and it costs far less than the alternative.

This document is published by entomo as research, and is current as at 8 September 2026. It is not accounting, audit or legal advice. Verify every requirement against the primary sources listed below and against professional advice before relying on it for a filing.

REFERENCES

sources

every figure in this document traces to one of the following. links were live at the date of publication.

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